

GREENING MSMES



A NATIONAL CAPITAL REGION-based chemical maker with under ₹100 crore in annual turnover approached Sculpt Partners, a sustainability-centric advisory firm, seeking environmental, social, and governance (ESG) assessment. The trigger was a demand from its customer, a large domestic manufacturer supplying rubber to global tyre players like Yokohama and Michelin, which sought to know its decarbonisation road map.

There is no regulation mandating the chemical company—classified in the micro, small, and medium enterprises (MSME) category—to have such a road map in place. The need in this case arose because it is a value chain partner of a multinational company that is required to report the carbon impact of such partners.

This is not an isolated case. Indian MSMEs, pri-

MSMEs, WHICH CONTRIBUTE 3-4% OF INDIA'S CARBON EMISSIONS, ARE STRIVING HARD TO INTEGRATE ESG PRACTICES INTO THEIR BUSINESSES. BUT FINANCING THIS TRANSITION IS PROVING TO BE A CHALLENGE

BY RICHA SHARMA

ILLUSTRATION BY **RAJ VERMA**

